

Corporate Cash Holdings Under Populism: The Inflation Channel and Dollarization

Research Question

How does populism affect corporate cash holdings, and does this relationship differ between dollarized and non-dollarized economies?

Core Contribution

Twofold contribution:

- Dual mechanism framework:** Left-Populism creates competing forces on cash holdings:
 - Precautionary motive (+):** Institutional damage and policy uncertainty incentivize firms to hold more cash for financial flexibility
 - Inflation cost (-):** Higher expected inflation increases the opportunity cost of holding cash, pushing firms to reduce cash reserves
- Dollarization as natural experiment:** Formally dollarized countries (Ecuador, El Salvador, Panama) provide a clean test of the inflation channel—when populist regimes cannot affect inflation expectations, does the cash holdings response differ?

Key Theoretical Insight

Left-wing vs. right-wing populism operate through different channels:

- Left-wing populism:** Works through both mechanisms—institutional damage (precautionary ↑) AND inflation expectations (opportunity cost ↑), creating ambiguous net effect
- Dollarization breaks the inflation channel:** In dollarized regimes, neither type of populism can credibly threaten inflation, isolating the pure institutional effect

Empirical Strategy

Panel structure: Firm-year observations from Compustat Global (post-2000)

Baseline specification:

1

2

3

Cash/Assets(*i*,*c*,*t*) = β₁ · LeftPop(*c*,*t*)
+ β₂ · (LeftPop × Dollarized)(*c*,*t*)
+ Controls + Firm FE + Year FE + ε(*i*,*c*,*t*)

Identification:

- Firm fixed effects:** Control for time-invariant firm characteristics (industry, ownership, business model)
- Year fixed effects:** Control for global shocks (financial crises, commodity cycles)
- Country-level clustering:** Conservative standard errors accounting for within-country correlation
- Wild cluster bootstrap:** Robust inference given finite number of countries

Key coefficients:

- **β_1** : Net effects of left-populism in non-dollarized countries
- **β_2** : Differential effects in dollarized regimes (tests whether inflation channel matters)
- **Critical test**: $\beta_1 \neq \beta_2$ confirms differential mechanisms for left vs. right populism

Data Sources

Firm-level:

- Compustat Global (cash/assets ratios, firm controls)
- Worldwide coverage conditional on data availability

Country-level:

- V-Party dataset: Populism indices + left-right ideological positioning
- World Bank (WDI/GFD): GDP growth, inflation, financial development indicators
- Dollarization classification: Ecuador, El Salvador, Panama

Controls:

- *Firm-level*: Size, profitability, leverage, capex, cash flow volatility
- *Country-level*: GDP growth, actual inflation, credit/GDP, banking crises

Expected Findings

Hypotheses:

1. **Left populism in non-dollarized countries**: Ambiguous sign (competing forces)
2. **Dollarization moderation for left populism**: Positive interaction (removing inflation cost reveals precautionary motive)

Methodological Approach

Primary specification: Country-year panel (collapsed firm means)

- Cleaner given country-level treatment
- Avoids sample dominance issues (US has 30,000+ firms vs. Ecuador ~1,000)
- Asset-weighted aggregation to reflect economic importance

Robustness checks:

- Firm-level regressions with equal country weighting
- Nonlinear populism effects (quadratic terms)
- Dynamic specifications (leads/lags to test anticipatory behavior)
- Heterogeneity by firm size, sector, financial constraints
- Separate regional analyses (Latin America, Europe, Asia)

Software: STATA

Policy relevance:

- Guides corporate strategy under populist regimes
- Informs debates about dollarization/currency unions
- Distinguishes between populist ideologies for investment risk assessment

Relates to broader literatures:

- Corporate finance (cash holdings determinants)
- Political economy (populism's economic effects)
- International finance (monetary regime choice)

Division of Labor

John G.

- Download Compustat data
- Relevant Lit Review
- Draft non-empirical sections

Nick C.

- Merge dataset
- Run main regression(s)
- Draft empirical sections

JP

- Empirical strategy feedback while busy defending
- Robustness checks
- Draft remaining of the paper